



Winding Tree

When Token Sale is Necessary



Maksim Izmaylov

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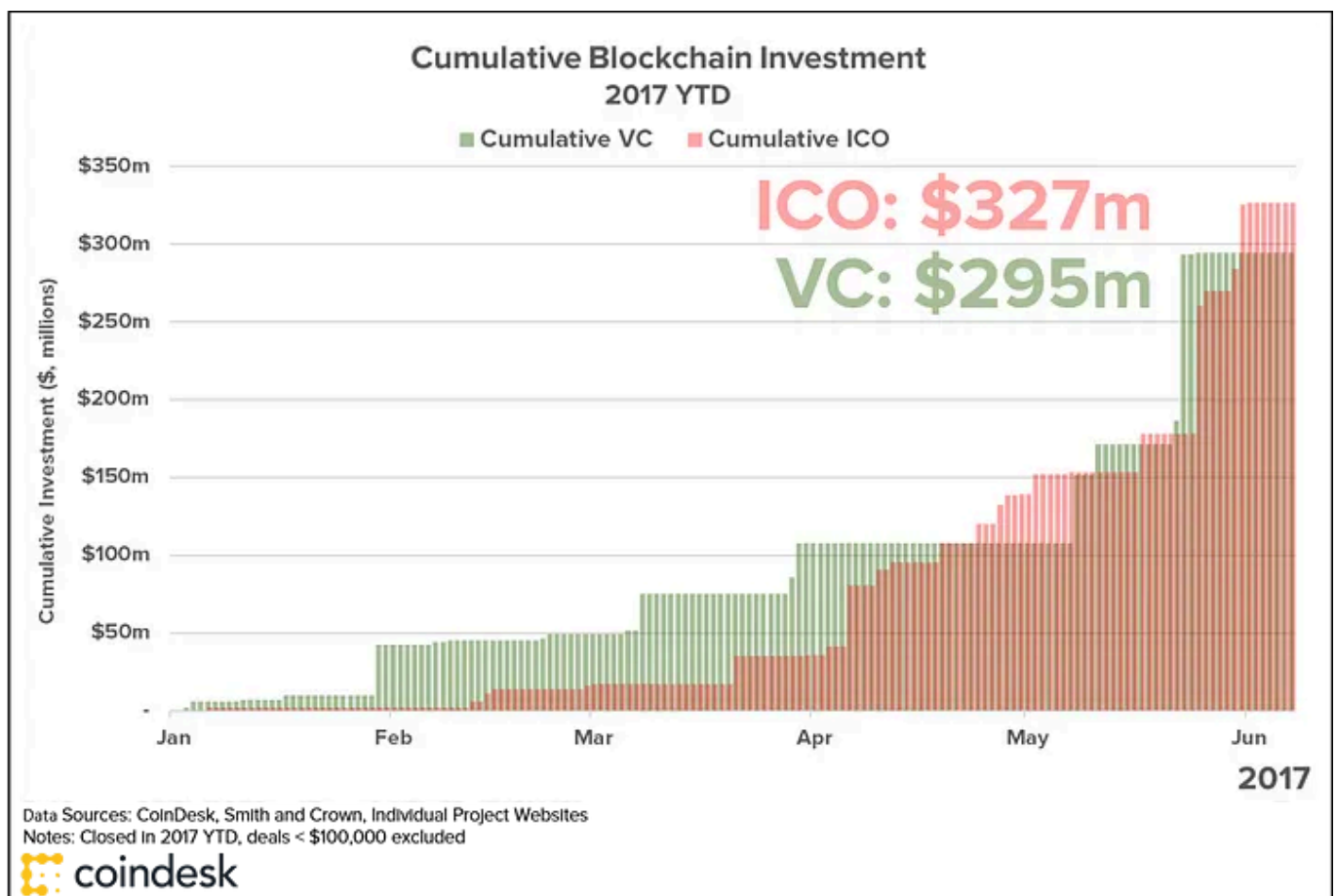
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In the past few months, the amount of money raised through so-called ICOs (aka token sale, token distribution or token generation event, etc.) has surpassed other ways of funding early stage startups. While many of them are a scam and for some of them the token model doesn't make any sense, a few business models require a token sale.



There are two reasons to do a token sale. In the first one, the token sale is just an instrument to raise funding from people all over the world. While it is definitely possible to simply issue a token and put it up for sale, more often than not these projects will be closed, i.e. with no way to verify whether it's legit or not. See Useless Ethereum Token, for example. It's a joke, but it was definitely born out of frustration regarding the lack of transparency around token sales. In the case of token-shares, the company doesn't even have to do anything related to the blockchain, decentralization, etc.

The second and the right reason to do a token sale is, of course, to distribute the power of your decentralized project, i.e. to avoid creation of a “central bank”. The whole point of using a blockchain technology is to have a system where no one one person or organization can be in control. Therefore, a token sale is a requirement for such projects. There is a great article from [Nick Tomaino](#) about why it makes sense for open-source projects to have a token sale.

In the case of Winding Tree, for example, we would like to see all kinds of travel companies (and travelers as well) to participate in the governance of the marketplace, as described in our white paper, and prevent centralization of power that the travel industry is currently suffering from. Without a diverse network of participants, we will simply not have a truly decentralized system.

But in some cases, even well-designed ICOs suffered from the central bank problem. Most famously, Gnosis had distributed only 5% of their tokens, with 95% in control of the project team.

Another issue is that none of the truly decentralized projects revealed the token allocation details. It's crucial for any stakeholder of a decentralized project to know that there are no entities that own significant amounts of tokens. At Winding Tree we plan to have these data easily available to the public.

It's important to note that in the first case the tokens will surely be regulated as securities because the token holders will have gains from the effort of other people. But if the project is fully decentralized, all its participants can influence the network and therefore increase the value of the network in such way, i.e. that token will not be considered a security under US regulations. Obviously, if you don't have backers in the US this risk is irrelevant.

In any case, it is your responsibility to assess all the risks associated with purchasing tokens. Do not rely on opinions of other people and do not send your crypto to the first address someone gives you. There are many cases where a lot of money was stolen via fraudulent Slack links pointing to fake MyEtherWallet sites. Even some ICO pages were hacked, with millions of dollars lost.

Token sale models will surely evolve very quickly and we hope that very soon we will have stable frameworks around them. But if you had to take one thing from this article, it's this: be alert and vigilant, assess token sales yourself, read the white paper and if you don't understand it, don't buy.

Homework:

What to Look for in ICOs and Token Offerings

I worked on this with Alexander Perkins an avid math and fintech mentor of mine who has been involved in cryptocurrency...





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